

IMAGINE AN ALIEN dispatched to Earth. His job is to keep tabs on our economy.

He circles above New York City, trying to size up the economy and how it changed between 2007 and 2009.

On New Year's Eve 2007 he hovers over Times Square. He sees tens of thousands of happy partygoers surrounded by bright lights, monstrous billboards, fireworks, and TV cameras.

He comes back to Times Square on New Year's Eve 2009. He sees tens of thousands of happy partygoers surrounded by bright lights, monstrous billboards, fireworks, and TV cameras.

It looks about the same. He cannot see much difference.

He sees roughly the same number of New Yorkers hustling around the city. Those people are surrounded by the same number of office buildings, which house the same number of desks with the same number of computers, hooked up to the same number of internet connections.

Outside the city he sees the same number of factories and warehouses, connected by the same highways, carrying the same number of trucks.

He gets a little closer to the ground and sees the same universities teaching the same topics and handing out the same degrees to the same number of people.

He sees the same number of patents protecting the same groundbreaking ideas.

He notices that technology has improved. Everyone in 2009 carries smartphones that didn't exist in 2007. Computers are now faster. Medicine is better. Cars get better gas mileage. Solar and fracking technology has advanced. Social media has grown exponentially.

As he flies around the country he sees the same. Around the globe, more of the same.

The economy is in about the same shape, maybe even better, in 2009 as it was in 2007, he concludes.

Then he looks at the numbers.

He's shocked that U.S. households are \$16 trillion poorer in 2009 than they were in 2007.

He's dumbfounded that 10 million more Americans are unemployed.